



We are happy with the draft policy. Manufacturing has found the focus it wants with focus on setting up of manufacturing clusters and fiscal incentive. But we need to see how it is implemented. There should be a group monitoring and reporting on the implementation of the scheme.

— **Anil Bahl, vice president, Deki Electronics**



The new policy is exciting and a good growth in the electronics hardware industry as well as in the IT sector is expected. However, there is no encouragement for providers of basic raw materials like magnet wires, ferrite cores and plastic parts. Also, there is no incentive or benefit for export of electronics hardware for consumer electronics

— **Satish Gupta, director, GSP Electronics**



The policy brings out some desirable objectives which would develop a very strong electronics design and manufacturing industry in India with focus on both the domestic and global markets. For this to happen, a basic change in our national strategic thinking is required not just by the government but also by our scientists, academics and industry leaders.

— **Rajiva K. Srivastava, director, Su-Kam Power Systems**



Having clear targets, the idea of electronics manufacturing clusters and identifying sectors for developing core competencies are some key ideas that I appreciate.

— **Gautam Awasthi, general manager, marketing, electronic measurement group, Agilent Technologies India**

postgraduate education and producing about 2500 PhDs annually by 2020

5. Create an institutional mechanism for developing and mandating standards and certification for electronics products and services to strengthen the quality assessment infrastructure nationwide

6. Develop an appropriate security ecosystem in ESDM for its strategic use

7. Create long-term partnerships between the EDSM industry and strategic sectors like defence, space and atomic energy

8. Become a global leader in creating intellectual property (IP) in the ESDM sector by increasing the fund flow for R&D, seed capital and venture capital for start-ups in the ESDM and nanoelectronics sectors

9. Develop core competencies in sectors like automotive, avionics, industrial, medical, solar, and information and broadcasting, through use of ESDM in these sectors

10. Use technology to develop electronics products catering to domestic needs and conditions at affordable price points

11. Expedite adoption of best practices in e-waste management

12. Create specialised governance structures within the government to cater to specific needs of the ESDM sector including high velocity of technological and business model changes.

13. Facilitate loans for setting up ESDM units in identified areas

IV. STRATEGIES

1. Creating eco-system for globally competitive ESDM sector

1.1 Provide attractive fiscal incentives across the value chain of the ESDM sector through a modified special incentive package scheme (M-SIPS) to eliminate the disability costs in manufacturing on account of infrastructure gaps relating to power, transportation, etc and mitigate the relatively high cost of finance, etc

1.2 Facilitate setting up of semiconductor wafer fab facilities and its eco-system for design and fabrication of chips and chip components

1.3 Provide preferential market access

for domestically manufactured electronics products including mobile devices, SIM cards with enhanced features, etc with special emphasis on Indian products for which IPR resides in India in order to address strategic and security concerns of the government consistent with international obligations in procurement

1.4 Provide incentives for setting up of over 200 electronics manufacturing clusters with world-class logistics, infrastructure and easy-to-use business facilities:

(a) Provide assistance to setting up of greenfield EMCs and upgradation of brownfield EMCs

(b) EMCs to use information technology investment region (ITIR) infrastructure wherever available

(c) The benefits of national manufacturing policy and national investment and manufacturing zones to be available for EMCs

1.5 Establish a stable tax regime (both at the central and state levels) conducive to attract global investments and encourage electronics sector through appropriate fiscal incentives and taxation mechanisms

(a) Provide for a ten-year stable tax regime for the ESDM sector

(b) Create an inter-ministerial working group to clarify technical issues relating to electronics products

(c) Declare mobile phones specifically and other electronics products for data communication as goods of special importance under the Central Sales Tax Act

1.6 Aggressively market India as an investment destination for ESDM among leading nations and companies

1.7 Loans for procuring computers and related peripherals including software by individuals and small businesses to be included in priority-sector lending

2. Promotion of exports

2.1 Focus on exports to generate volumes and economies of scale by providing requisite incentives and streamlining procedures and logistics to facilitate import of components/sub-systems and export of products

(a) Extend special focus under the focus products scheme to an expanded list of items under the ESDM sector